

businesses were confident about ESG preparedness, per a Deloitte survey in May 2023. So, when Sebi introduced BRSR Core earlier this year to enhance transparency and combat greenwashing, board-rooms were abuzz trying to digest the implication of terms like reasonable assurance, value chain assurance, and more.

“The BRSR, and now the BRSR Core, are two of the most comprehensive and progressive non-financial disclosure frameworks to be rolled out globally. With questions ranging from an organisation’s environmental performance to its supply chain’s adherence to human rights,” says Niranjana Banodkar, Chief Financial Officer at YES Bank.

CORE COMPETENCE

In the aftermath of the Covid-19 pandemic, there has been a realisation around the world of the need to make supply chains more resilient, says Sameer Jain, Managing Director of consulting firm Primus Partners. One way to do this is to ensure that the benefits of sustainable practices percolate through the value chain. This is what the BRSR Core seeks to address.

BRSR Core consists of a set of key performance indicators (KPIs) under nine ESG attributes, which are further broken down into over 40 sub-indicators that relate to an organisation’s non-financial performance. These nine ESG attributes include greenhouse gas (GHG), water, and energy footprint, embracing circularity, enhancing employee well-being and safety, enabling gender diversity in business, enabling inclusive development, fairness in engaging with customers and suppliers, and openness of business. It also introduces certain new indicators related to inclusive development and

INDIA’S ESG PREPAREDNESS

- ▶ Only 27 per cent of businesses are well-prepared to meet ESG requirements
 - ▶ Only 15 per cent of organisations’ suppliers are ready
 - ▶ 80 per cent of organisations report their ESG efforts. The prevalent method used is sustainability reports (81 per cent), followed by ESG reports (50 per cent), and BRSR and integrated reports (44 per cent)
 - ▶ Nearly 75 per cent of organisations said they communicate ESG efforts, with awareness programmes (85 per cent) being the most-used method, followed by annual meetings (76 per cent) and investor decks (50 per cent)
 - ▶ Less than half (49 per cent) are well-aware of ESG reporting mechanisms and regulations in India
 - ▶ 68 per cent of firms have been able to integrate ESG strategies
- SOURCE** DELOITTE ESG PREPAREDNESS SURVEY REPORT (MAY 2023), BASED ON A SAMPLE OF 150 COMPANIES

BRSR CORE COMPLIANCE TIMELINE

FY	BRSR Reporting	BRSR Core Assurance	Applicability
2023-24	Top 1,000 listed entities	Top 150 listed entities	Mandatory
2024-25	Top 1,000 listed entities	Top 250 listed entities	Mandatory
2025-26	Top 1,000 listed entities	Top 500 listed entities	Mandatory
2026-27	Top 1,000 listed entities	Top 1,000 listed entities	Mandatory

➤ The new framework will be applied to businesses from FY24 in a phased manner ➤ From FY25, the Top 250 companies will have to provide value chain disclosures on a comply or explain basis

SOURCE UPDAPT